a dirty long vol vix trade

america, hell yeah!

ROBOT JAMES

APR 09, 2026 • PAID

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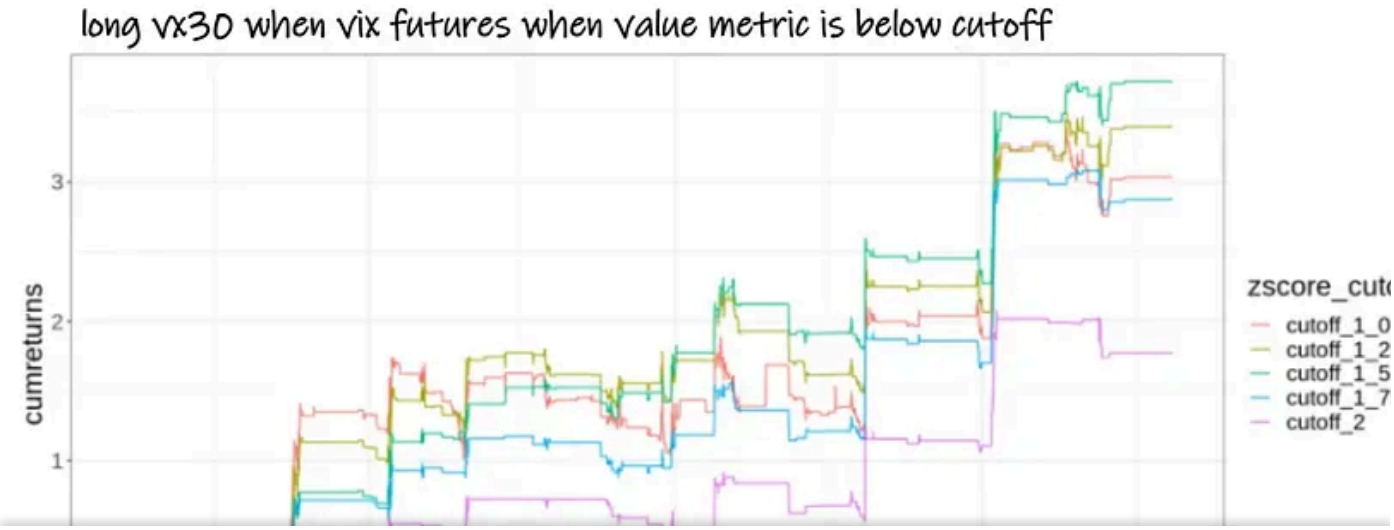
hi!

allow me a brief interlude from sports gambling content...

today i'm going to show you a dirty long vol trade in vix futures or etps.

it takes advantage of sticky customer positioning and dumb tourist trading in vix products.



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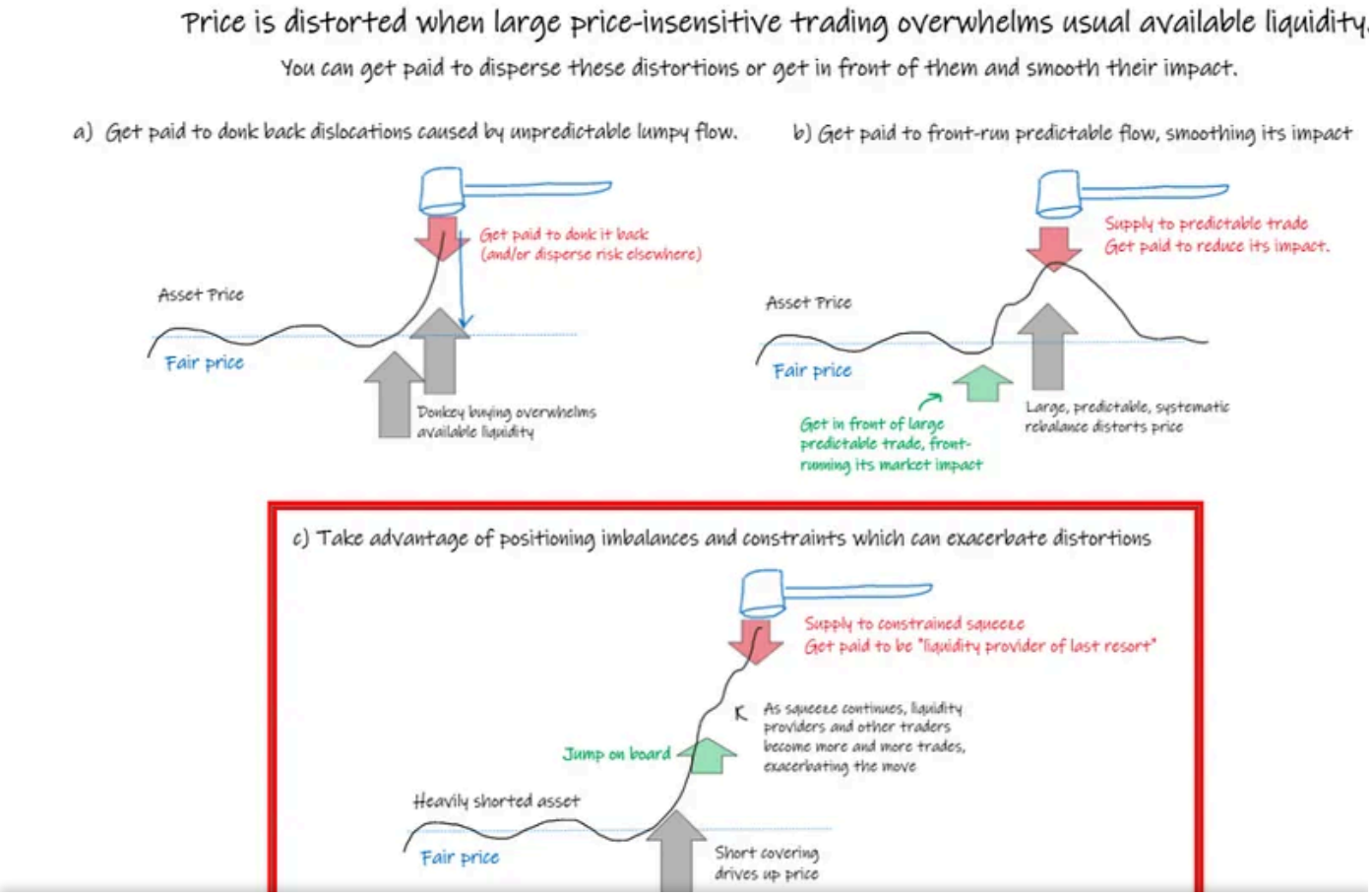
. . .

lopsided positioning can lead to predictable under or over-react: effects that we can exploit.



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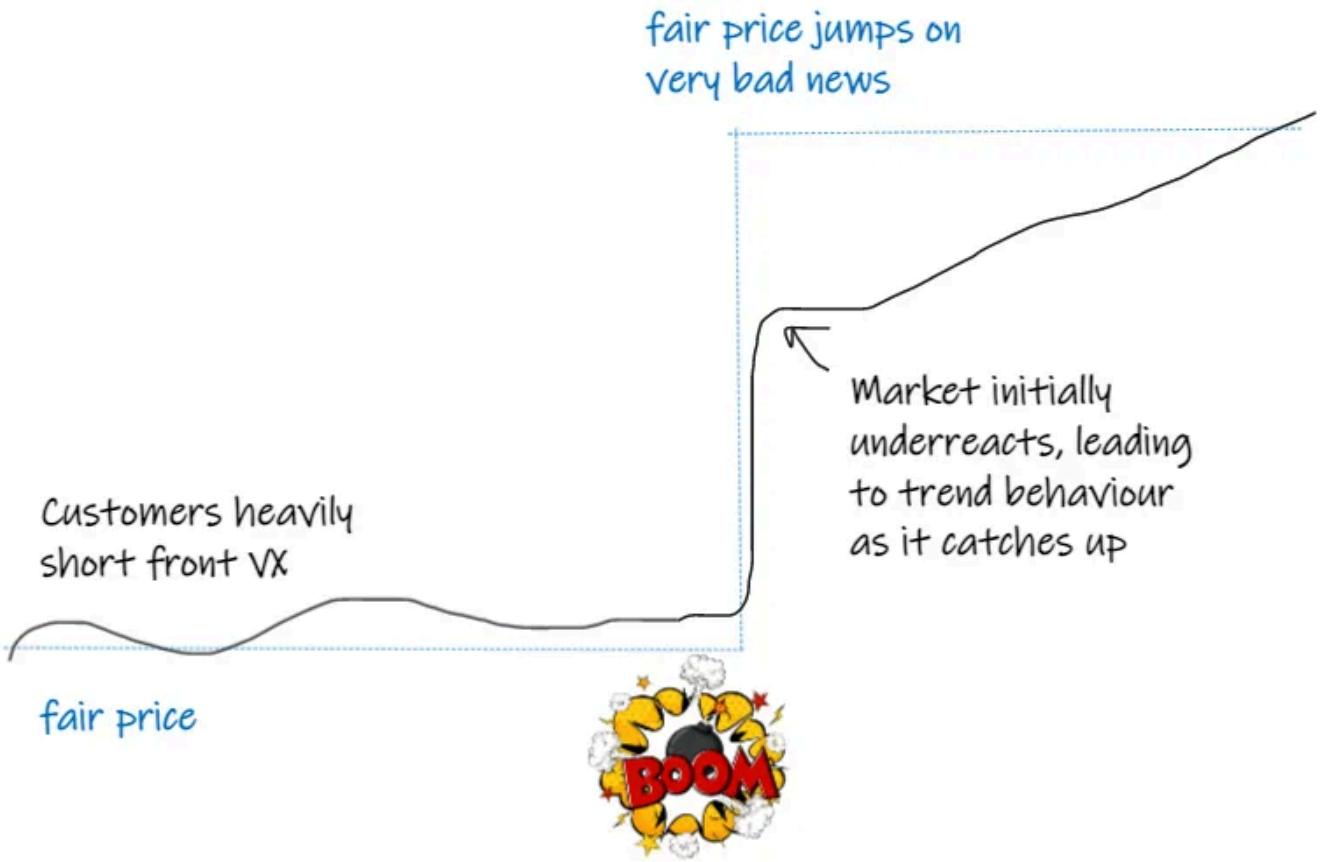
vix futures are a lot of fun because:

- they are volatile and positively skewed
- customer positioning tends to be concentrated on one side, an sticky
- which can lead to tradeable inefficiencies. . . .

. . . as we are about to see.



this trade revolves around a simple core idea, which is summarize

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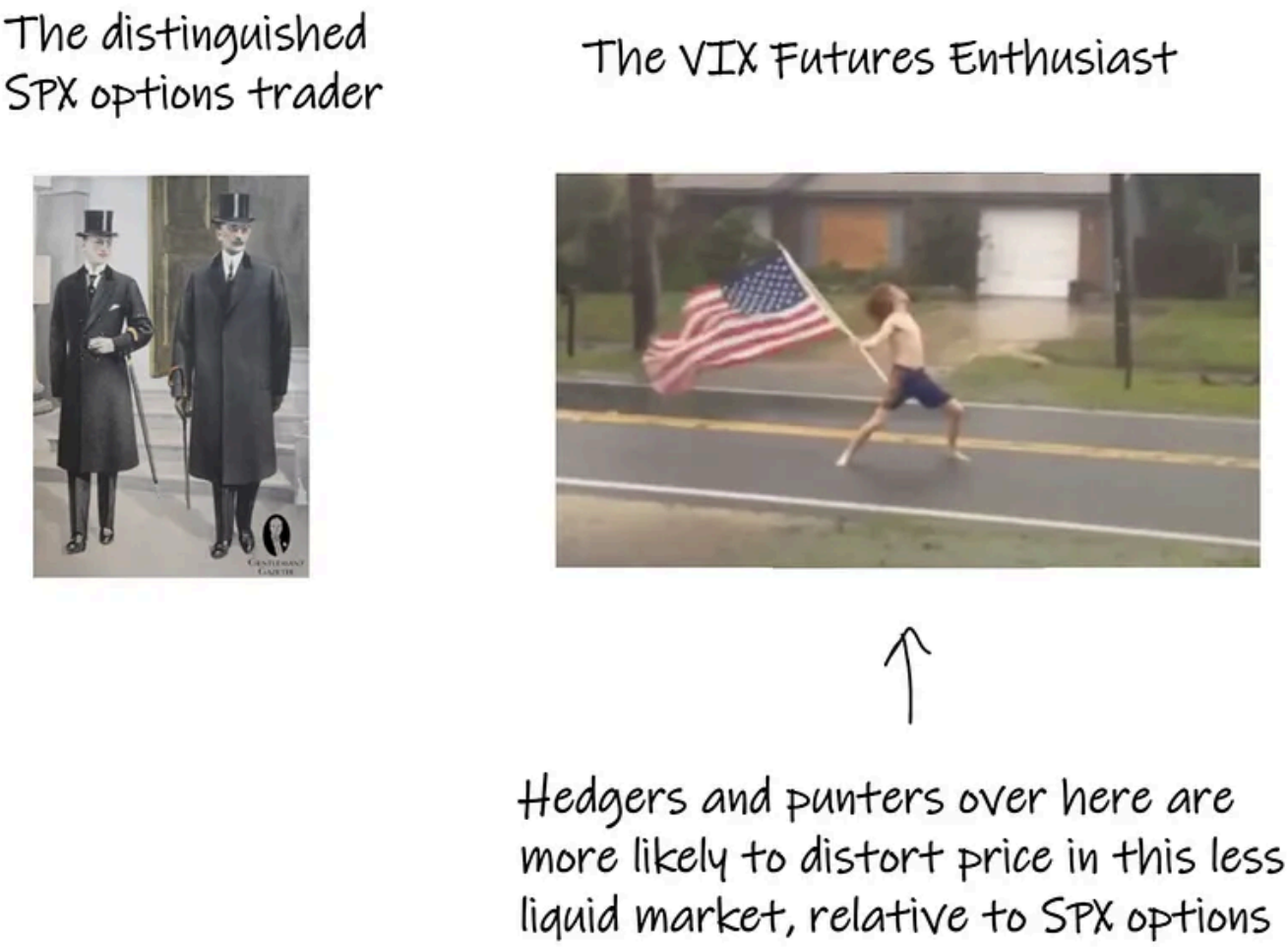

the vix complex, despite being relatively high profile, sure attracts a lot of dumb trading.

in particular, when really bad unexpected stuff happens, vix futures often trade too cheap.

there are a few reasons why this is the case but one of the most compelling is ***"idiots love systematically slamming vix futures esp***

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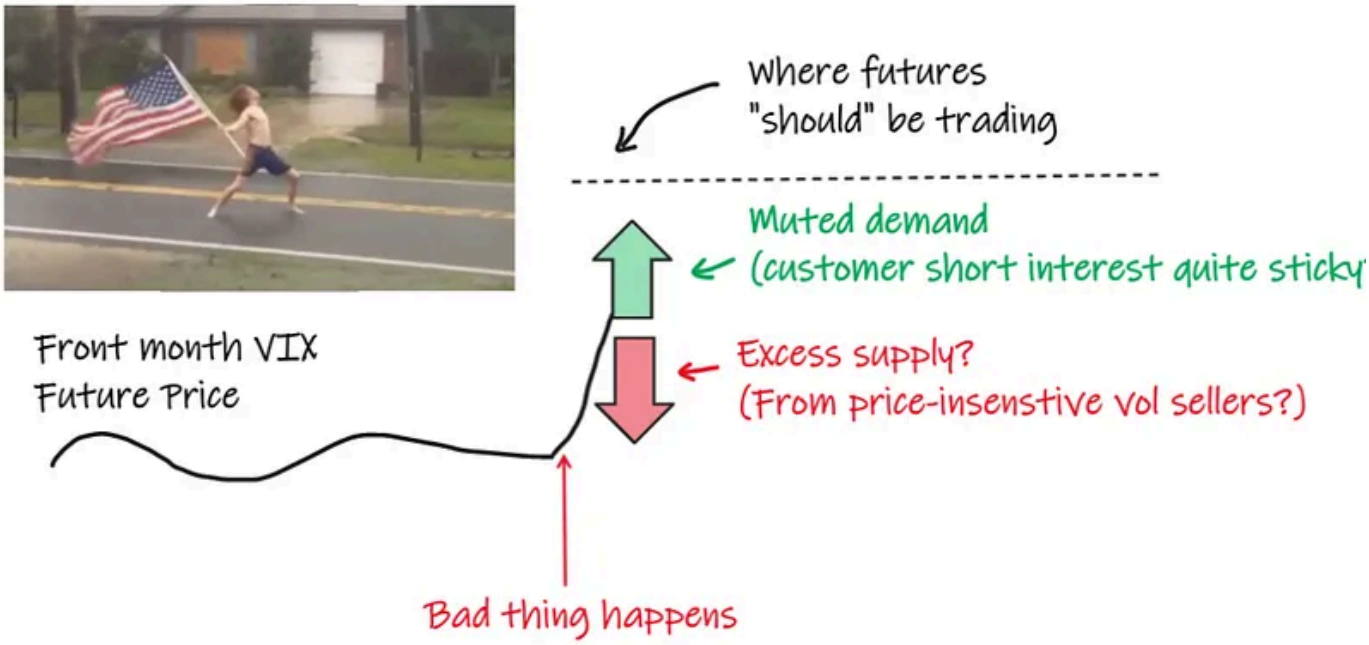
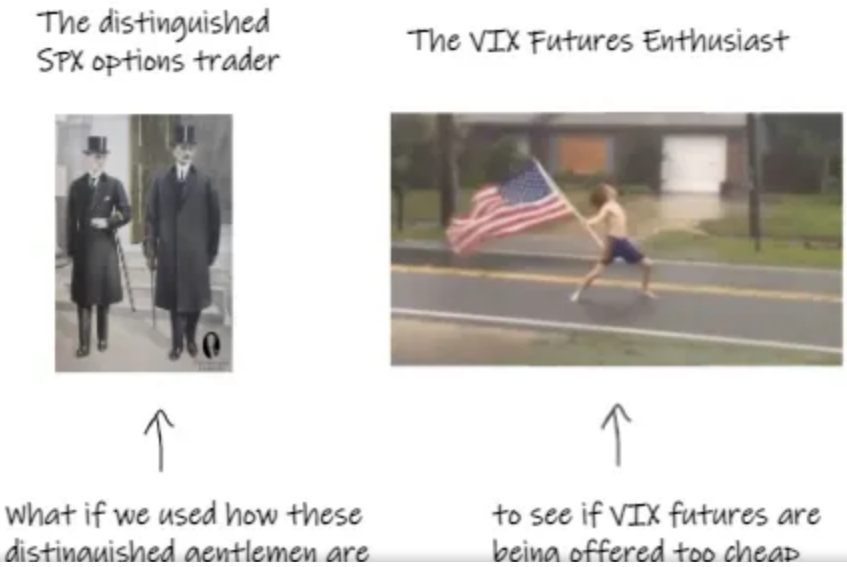


we can quantify this by using spx options to determine whether vi futures look cheap or not. *(it's all spx vol at the end of the da innit.)*



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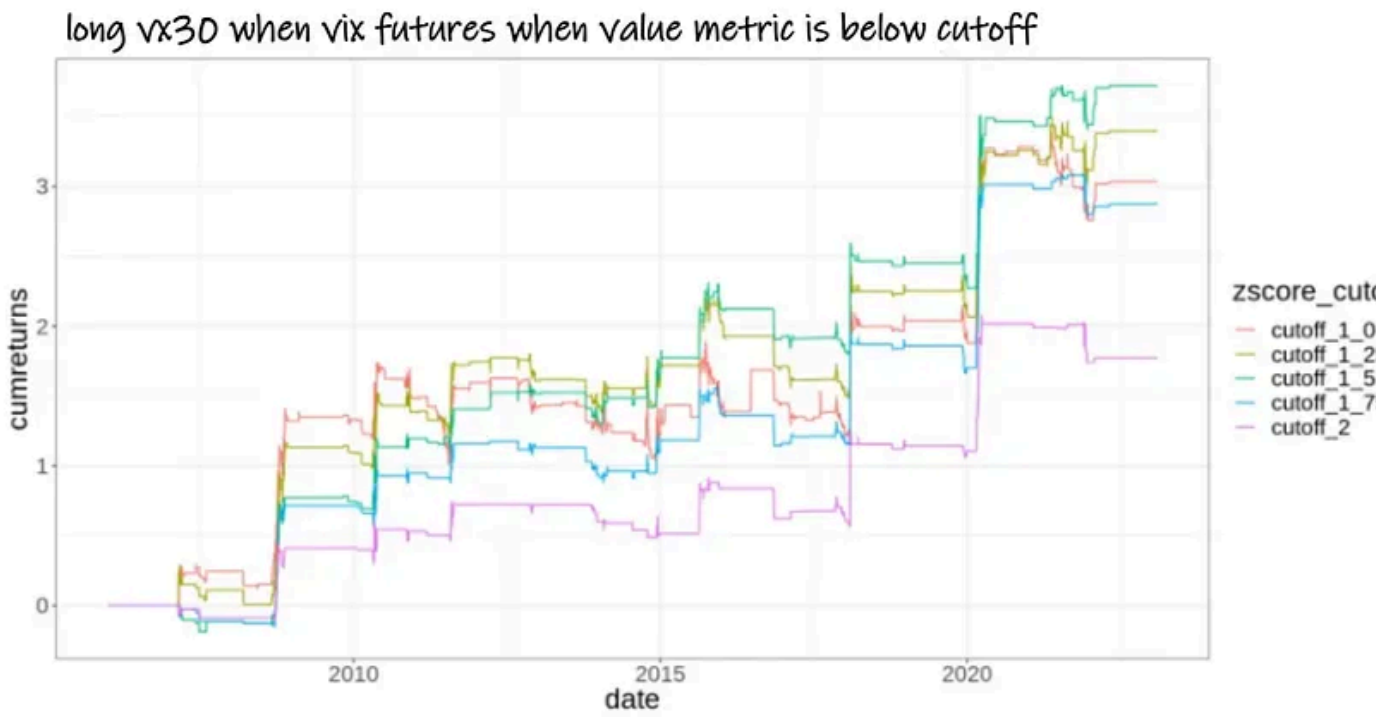
and we are going to turn this into a dead simple long volatility trade that gets long vix futures or etps when they look super cheap.



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